Northbridge Bank - Card Spending Policy

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1. Purpose

This policy defines when card transactions must be reviewed by an analyst. It applies to all Savings and Current accounts.

2. Single-transaction review thresholds

A single transaction must be reviewed when its amount exceeds the threshold for its merchant category: Travel 500 CAD, Dining 400 CAD, Grocery 600 CAD, Utilities 600 CAD.

Thresholds apply to the transaction amount only. Debit and Credit transactions are treated the same way.

3. Cross-border transactions

A transaction is cross-border when its country is not CA. Cross-border transactions above 300 CAD require secondary verification, in addition to any category threshold in section 2.

The bank expects transactions in FR to stay below 12 percent of all transactions. A higher share must be reported to Retail Risk.

4. Statistical anomaly screening

Amounts are screened with the interquartile range (IQR) method over all transactions: a transaction is an anomaly when its amount is above Q3 + 1.5 x IQR or below Q1 - 1.5 x IQR.

If more than 7 percent of transactions are anomalies, the case must be escalated to the Risk Committee. An anomaly is not proof of fraud.